



Third-Quarter 2024 Results

October 30, 2024

TRANE
TECHNOLOGIES

Forward-Looking Statements

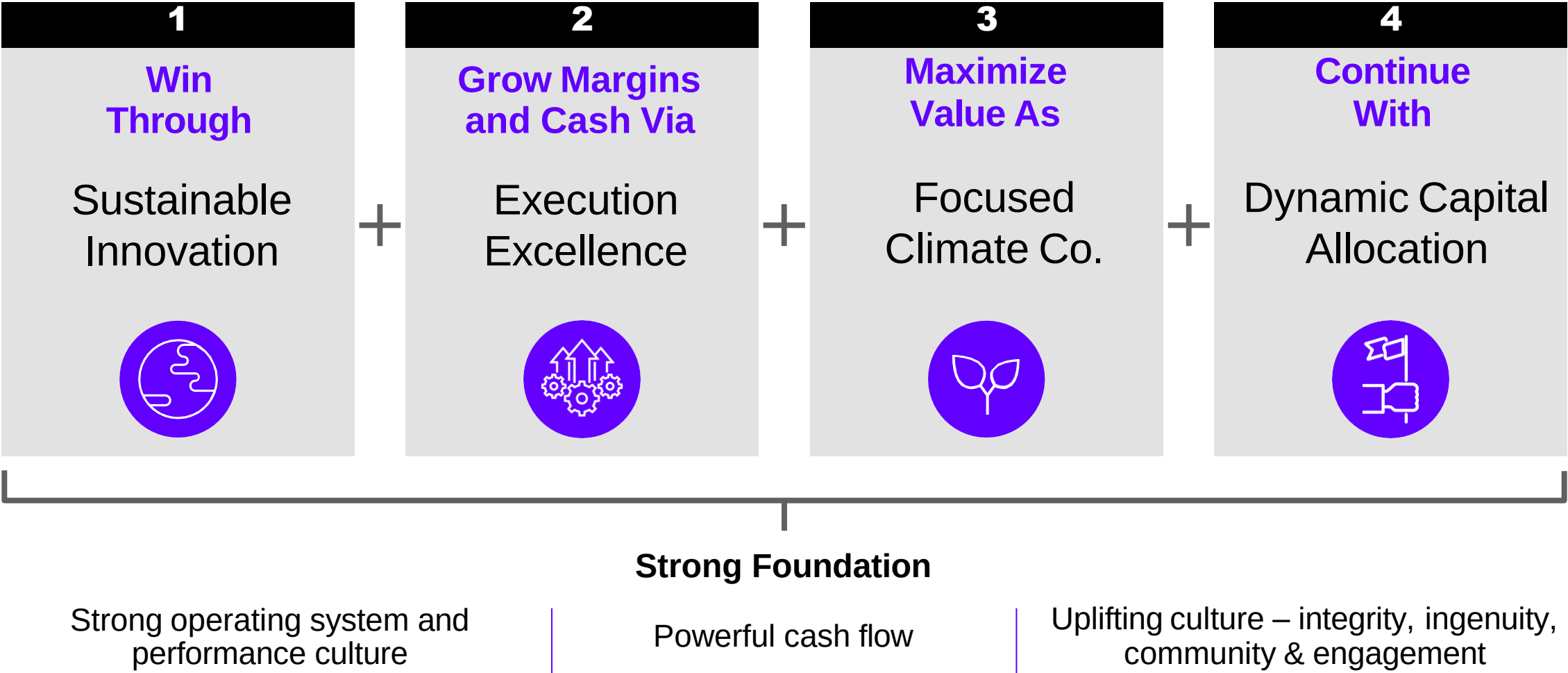
This news release includes “forward-looking” statements within the meaning of securities laws, which are statements that are not historical facts, including statements that relate to our future financial performance and targets, including revenue, EPS, operating income, operation margin and earnings; our business operations; demand for our products and services, including bookings and backlog; capital deployment, including the amount and timing of our dividends, our share repurchase program, and our capital allocation strategy, including M&A activities and investments, if any; our projected free cash flow and usage of such cash; our available liquidity; our anticipated revenue growth, including growth in organic revenue; performance of the markets in which we operate; our foreign exchange rate outlook, our credit rating; our productivity and cost savings initiatives; our ESG and other sustainability initiatives and our effective tax rate.

These forward-looking statements are based on our current expectations and are subject to risks and uncertainties, which may cause actual results to differ materially from our current expectations. Such factors include, but are not limited to, global economic conditions, including recessions and economic downturns, inflation, volatility in interest rates and foreign exchange; changing energy prices; worldwide geopolitical conflict; financial institution disruptions; climate change and our sustainability strategies and goals; future health care emergencies on our business, our suppliers and our customers; commodity shortages; price increases; government regulation; restructuring activity and cost savings associated with such activity; secular trends toward decarbonization, energy efficiency and internal air quality, the outcome of any litigation, including the risks and uncertainties associated with the Chapter 11 proceedings for our deconsolidated subsidiaries Aldrich Pump LLC and Murray Boiler LLC; cybersecurity risks; and tax audits and tax law changes and interpretations.

Additional factors that could cause such differences can be found in our Form 10-K for the year ended December 31, 2023, as well as our subsequent reports on Form 10-Q and other SEC filings. New risks and uncertainties arise from time to time, and it is impossible for us to predict these events and how they may affect the Company. We assume no obligation to update these forward-looking statements.

This news release also includes non-GAAP financial information, which should be considered supplemental to, not a substitute for, or superior to, the financial measure calculated in accordance with GAAP. The definitions of our non-GAAP financial information are included as an appendix in our presentation and reconciliations can be found in our earnings releases for the relevant periods located on our website at www.tranetechnologies.com. Unless otherwise indicated, all data beyond the third quarter of 2024 are estimates.

Focused Strategy Delivers Differentiated Shareholder Returns



Q3 Extends Strong Track Record of Performance. Raising 2024 Guidance. Exceptional Bookings & Backlog Provide Strong Visibility into 2025

- **Strong execution across diversified, resilient portfolio**
 - High performance flywheel - leading revenue and adj. EPS* growth in Q3, while maintaining high levels of business reinvestment for future market outgrowth
 - Organic revenues* up 11%, adj. EBITDA margins* up 120 basis points; adj. EPS up 21%
 - Q3 second highest bookings quarter in history at \$5.2B, up 5%. Americas CHVAC also second highest bookings quarter, up LSD vs tough PY comps of up mid-teens
 - Resilient services performance with revenues up low-teens (~1/3rd of total revenue)
- **Robust performance continues to be led by our longer-cycle commercial HVAC businesses, particularly Americas Commercial HVAC**
 - Americas CHVAC revenues up nearly 20% YOY & up ~50%+ on a 3-year stack
 - Strength in applied solutions - increasing project complexity plays to TT's unique strengths as a leading innovator with best-in-class direct sales and services capabilities
 - Strong track record of winning in applied systems – e.g., Americas CHVAC applied bookings and revenues both up over 100% over past 4 years
 - Strong and growing CHVAC project pipeline provides good visibility to continued market outgrowth over time
- **Accelerating business reinvestments throughout 2024 to support robust demand outlook**
 - Innovation / solutions, sales and service excellence, capacity and supporting infrastructure investments, digital, factory automation, productivity
 - 2H step up in pace of discrete investments in sales and service tools and capacity and digital performance optimization
- **Well positioned for continued growth in 2024 and 2025**
 - Backlog at \$7.2B, up ~\$300M from Y/E 2023 (90% CHVAC); ~\$4.1B backlog for 2025 & beyond; expect backlog to remain highly elevated entering 2025
 - Robust bookings, strong and growing CHVAC pipeline, improving resi and transport fundamentals provide good visibility into 2024 and 2025
- **Continued execution of balanced capital allocation strategy. Financial position, liquidity and balance sheet bolster resilience and optionality**
- **Raising 2024 revenue, adj. EPS guidance**
 - Expect organic revenue growth of ~+11%, up from ~+10% prior guidance
 - Expect adj. EPS of ~\$11.10 (~+23%), up from \$10.80 prior guidance (see p.18 for more detail)
 - Well positioned for continued market outgrowth, robust earnings and FCF* to deliver differentiated financial performance & leading shareholder returns over the long term

*Includes certain Non-GAAP financial measures. See the company's Q3 2024 earnings release for additional details and reconciliations

Continued Strong Execution and Demand with Double Digit Revenue Growth and Bookings of \$5.2B, up 5%

	Q3 Organic* Y-O-Y Change	
	Bookings	Revenue
Enterprise	+ 5%	+ 11%

Americas	+ 8%	+ 15%
Commercial HVAC	+	+
Residential HVAC	+	+
Transport	+	-

Americas

- Broad-based CHVAC demand: CHVAC bookings up LSD w/ 3-yr stack up ~35%. Revs up nearly 20%. Robust revenue growth in equip & services, up 20%+, and mid-teens, respectively
- Resi bookings up high twenties. Revs up low teens
- Transport bookings up high twenties. Revs down HSD as expected & consistent w/ guide

EMEA	+ 9%	+ 8%
Commercial HVAC	+	+
Transport	+	flat

EMEA

- CHVAC bookings up MSD w/ 3-yr stack up ~30%. Revs up low-teens w/ 3 yr-stack revs up 40%+
- Transport bookings up mid-teens. Revs flat as expected & consistent w/ guide

Asia Pacific	- 31%	- 21%
Commercial HVAC	-	-
Transport	+	-

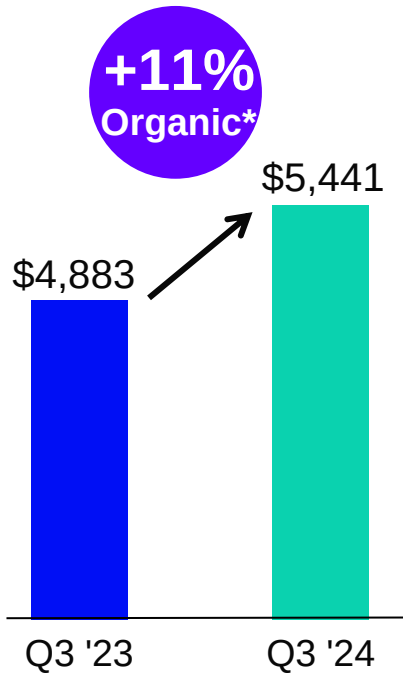
Asia Pacific

- Asia bookings down 31%, China down 50%+, Rest of Asia up LSD
- Asia Revs down 21%, China down ~45%, Rest of Asia up MSD

*Organic bookings and organic revenues exclude acquisitions and currency

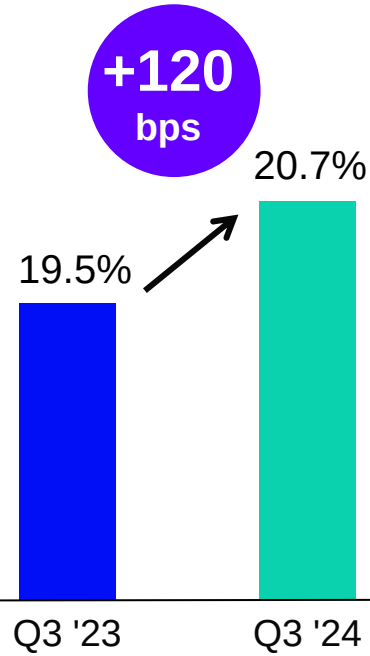
Performance Scoreboard: Robust Revenue Growth, Margin Expansion and EPS Growth

Net Revenue



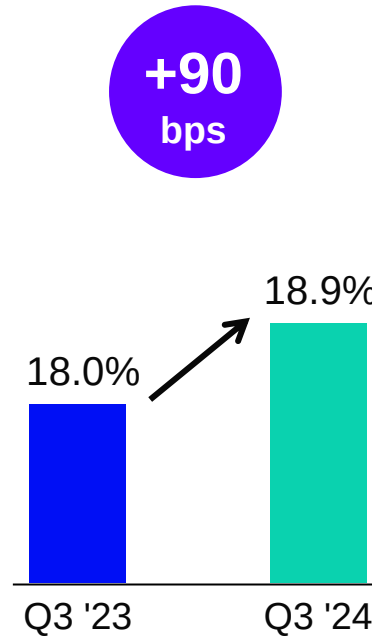
- Strong organic revenue growth
- Equipment up double-digits, with strong Americas and EMEA more than offsetting softness in China
- Continued strong services growth up low-teens

Adj. EBITDA Margin*

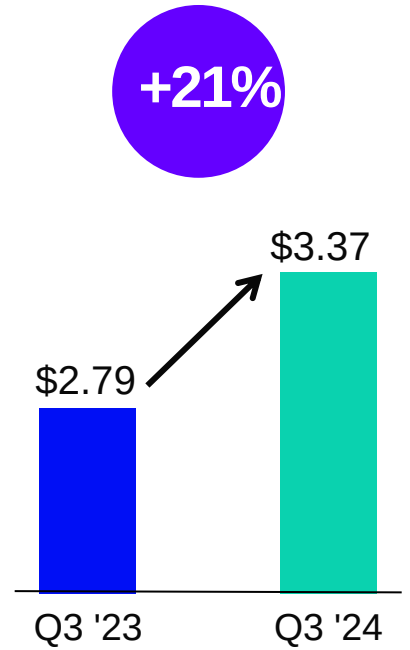


- Strong volume growth, positive price realization and productivity more than offset inflation
- Strong enterprise organic leverage* of ~28%

Adj. Operating Margin*



Adj. Continuing EPS*



- Strong execution of company's business operating system driving operational excellence throughout P&L

*Includes certain Non-GAAP financial measures. See the company's Q3 2024 earnings release for additional details and reconciliations.

Strong Revenue Growth and Broad-Based Margin Expansion

\$M	Revenue Org.* Growth	Adj. EBITDA*% vs PY	Adj. OI*% vs PY	Highlights
Americas	\$4,475 +15%	22.2% +140 bps	20.6% +130 bps	- Strong volume growth in Americas/EMEA partly offset by softness in China - Strong margin expansion in Americas/EMEA partly offset by softness in China. Asia deleveraged within gross margin - Positive price realization and productivity more than offset inflation - High incremental business reinvestment in each segment supporting sustainability strategy, innovation and growth initiatives, people and culture
EMEA	\$668 +8%	21.6% +50 bps	20.5% +140 bps	
Asia Pacific	\$298 -21%	21.0% -230 bps	19.1% -290 bps	

* Includes certain Non-GAAP financial measures. See the company's Q3 2024 earnings release for additional details and reconciliations.

Market Outlook: CHVAC and Resi Stronger. China Macro Weaker. Other BUs Largely Unchanged

Americas

Commercial HVAC – Q3 stronger than expected – mainly timing of customer delivery dates, stronger services growth

- Strong revenue growth - broad-based with particular strength in data centers / education / healthcare / office and across services portfolio
Robust bookings - Q3 bookings 2nd highest Qtr in history, adding to exceptional backlog positioning / visibility for 2025 and beyond
- Expect continued strong demand for innovative solutions – unwavering reinvestments and focus on core strategy, leading innovation / leading solutions & services portfolio, sales / service excellence, BOS, culture; customer paybacks remain compelling w/ increasing demand for decarbonization projects

Residential HVAC – Q3 stronger than expected

- Q3 strong demand - normalization of channel inventory, strong cooling season; modest pre-buy, mainly impacting Q1'25

Transport – Q3 as expected

- Continue to expect Transport markets to be down mid-teens in 2024 and for TK to outperform markets
- Expect TK to outperform trailer markets in Q4, which are forecast to be down 30% plus
- ACT now projects trailer market to return to +LSD growth in 2025 vs +mid-teens prior, with weak 1H, stronger 2H as freight rates recover

EMEA

Commercial HVAC - Q3 as expected

- Continued robust demand for innovative, sustainability - focused products and services; accelerating demand for Thermal Management Systems
- Strong decarbonization trends continue led by compelling customer paybacks. Ongoing regulatory and policy tailwinds across the region

Transport - Q3 as expected

- Weighted average market forecast down LSD in 2024. TK to outperform end markets through innovation-led, diversified, resilient portfolio

Asia Pacific

China – Q3 weaker than expected due to 2 main factors

- 1) Non-res markets deteriorated significantly since June-impacting overall market demand
- 2) We have prudently tightened company’s credit policy and requirements for progress payments to reflect challenging credit environment & related risks
- Market remains dynamic - expect cont’d softness through Q4'24

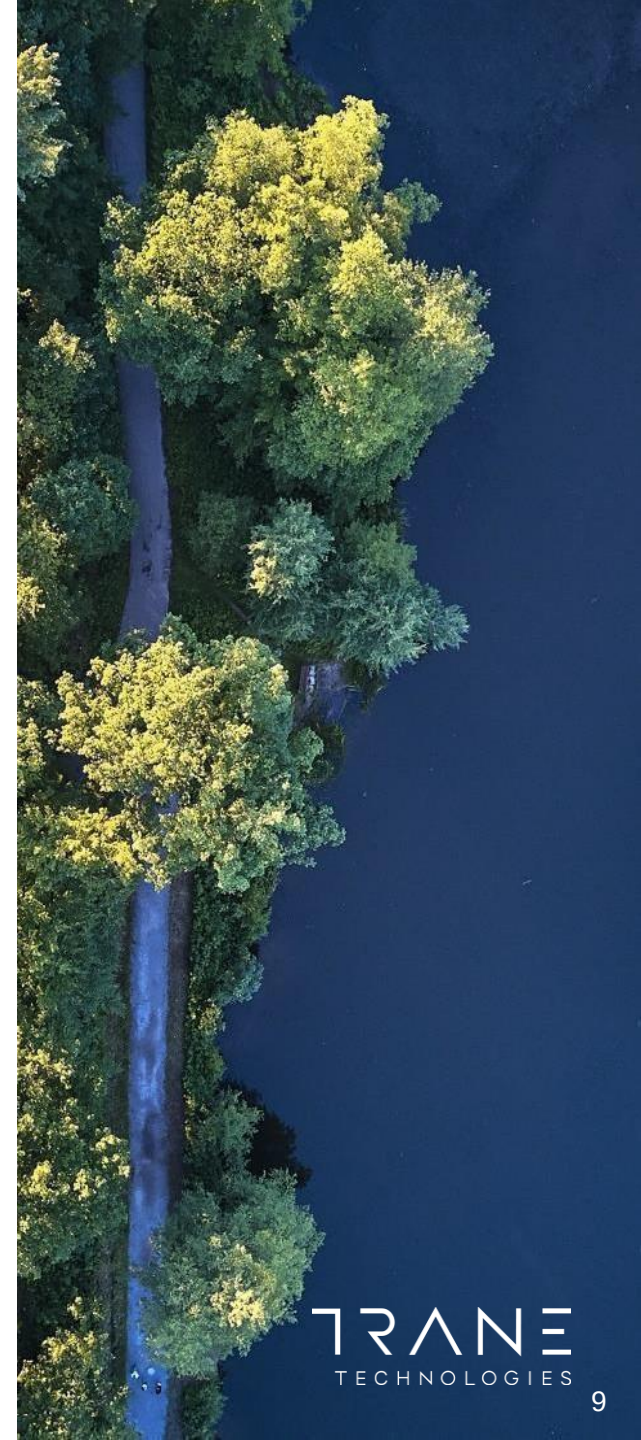
Rest of Asia – Q3 as expected

- Mixed outlook with pockets of strength in data center, fab plants

Raising FY'24 Revs & EPS Guide on Strong Demand, High Levels of Business Reinvestment

	Prior FY Guidance	Updated FY Guidance*
Organic Revenues	~+10% ~+10% reported incl. ~+1pt M&A & minus ~1pt FX	~+11% ~+11% reported less than 1pt M&A & FX impact Q4'24 expect ~+7% organic growth
Adj. EPS	~\$10.80 ~+20%	~\$11.10 ~+23% Q4'24 expect ~\$2.50
Operating Leverage	Organic 25%+ elevated biz reinvestments M&A = minus ~5pts reported vs organic leverage	Organic ~30% Q4 reflect elevated biz reinvestments M&A = minus ~3pts reported vs organic leverage
Free Cash Flow	≥ Adj. Net Earnings	≥ Adj. Net Earnings

*See pg. 18 for additional details



Strong FCF Drives Continued Balanced Capital Deployment Strategy

1

Invest for Growth

- Strengthen the core business and extend product & market leadership
- Invest in new technology and innovation
- Strategic investments in value-accretive M&A

2

Maintain Healthy, Efficient Balance Sheet

- Expect to deliver FCF* $\geq$ 100% of adjusted net earnings
- Strengthening balance sheet
- Strong A3/BBB+ investment grade rating offers optionality as markets evolve

3

Return Capital to Shareholders

- Expect to consistently deploy 100% of excess cash over time
- Pay competitive dividend and grow dividend at or above rate of earnings growth over time
- Repurchase shares with excess cash when intrinsic value provides high returns

* Includes certain Non-GAAP financial measures. See the company's Q3 2024 earnings release for additional details and reconciliations

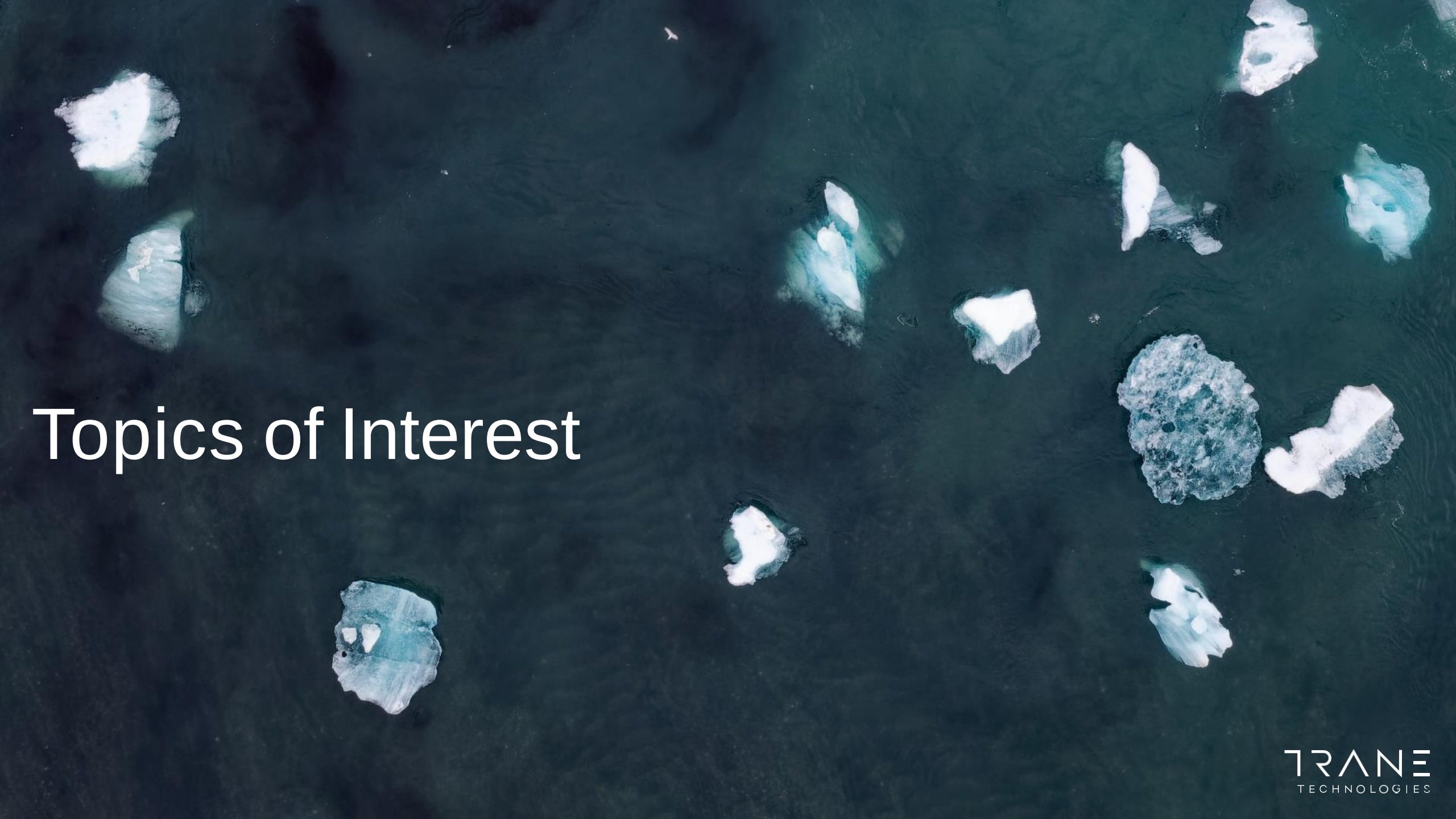
Strong, Balanced Capital Allocation; Expect to Deploy ~\$2.5B in 2024

Balanced Capital Deployment

	Actual & Committed YTD Oct 2024	Target FY 2024
Dividends	~\$0.8B	~\$0.8B
M&A, investments	~\$230M	~\$1.8B
Share repurchases	~\$1.0B*	
Total Capital Deployed/Committed	~\$2.0B	~\$2.5B

- Dividends paid Q3 YTD \$569M; and Q4 dividend declared with payment on Dec 31st ~\$190M
- Increased dividend 12% in February 2024 to \$3.36 per share annualized, up 58% since the launch of Trane Technologies (March 2020)
- YTD Oct share repurchases of ~\$1.0B*; ~\$1.5B remaining authorization
- M&A pipeline remains active; maintain disciplined approach
- Shares remain attractive, trading below our calculated intrinsic value
- Targeting ~\$2.5B Capital Deployment in 2024

*Excludes Jan 2024 share repurchases of \$81M that were included in FY 2023 capital deployed



Topics of Interest

Global Transport Market Outlook for FY'2024. Continue to Expect TK to Outperform in Each Region – No Change vs Q2

N.A. and EMEA Market Results / Forecast

Actual 2023 Transport
N.A. Market
Trailer / Truck / APU wtd avg
-MSD
(Actual TK -LSD)

2024 Transport N.A.
Market Outlook*
Trailer / Truck / APU wtd avg
-Mid-teens

Actual 2023 Transport
EMEA Market**
Trailer / Truck wtd avg
Flat
(Actual TK +LSD)

2024 Transport EMEA
Market Outlook
Trailer / Truck wtd avg
-MSD

Weighted Avg Mkt Forecast / TK Revenue

- Americas 2024 Transport weighted average market forecast down mid-teens; EMEA 2024 Transport weighted average market forecast down LSD
- Trailer/Truck/APU: ~2/3rds of Total Transport Revenue
- Marine/Bus/Rail/Air/Aftermarket (“all other”): ~1/3rd of Total Transport Revenue
- Global Thermo King is ~15% of 2023 enterprise revenues. Americas / EMEA / Asia represent ~60% / ~35% / ~5% of global Thermo King revenues, respectively

Total Transport market weighted avg growth***

2021-2022				2023			3-yr outperformance	
	market	TK	Delta	market	TK	Delta	Delta	
Americas	27%	50% plus	~+25%	-5%	-LSD	+LSD	~+ High Twenties %	
EMEA	4%	high 20s	~+25%	flat	+LSD	+LSD	~+ High Twenties %	

*Includes 2024 N.A. ACT Sep Trailer build fcst
** Reflects removal of Russia from EMEA Mkt Sizing
***Includes Truck/Trailer/APU/Marine/Bus/Rail/Air

Source: ACT / IHS / Company Estimates

ACT Projects North America Refrigerated Trailer Market to Improve to + LSD Growth in 2025 vs + Mid-Teens Prior; Robust Growth Expected 2026 - 2029 (above 40k units)

ACT North America Trailer Market Outlook	Comments																																
<table border="1"><thead><tr><th>Year</th><th>N.A. Trailer Build (k units)</th></tr></thead><tbody><tr><td>2015</td><td>46</td></tr><tr><td>2016</td><td>46</td></tr><tr><td>2017</td><td>42</td></tr><tr><td>2018</td><td>46</td></tr><tr><td>2019</td><td>50</td></tr><tr><td>2020</td><td>32</td></tr><tr><td>2021</td><td>38</td></tr><tr><td>2022</td><td>44</td></tr><tr><td>2023</td><td>42</td></tr><tr><td>2024*</td><td>36.8</td></tr><tr><td>2025*</td><td>37</td></tr><tr><td>2026*</td><td>42</td></tr><tr><td>2027*</td><td>48</td></tr><tr><td>2028*</td><td>50</td></tr><tr><td>2029*</td><td>50</td></tr></tbody></table> * Forecast shown in grey Source: ACT Sep 2024 Forecast	Year	N.A. Trailer Build (k units)	2015	46	2016	46	2017	42	2018	46	2019	50	2020	32	2021	38	2022	44	2023	42	2024*	36.8	2025*	37	2026*	42	2027*	48	2028*	50	2029*	50	• ACT 2025 North America Trailer forecast lowered to 36.8k units from 40k units; weak 1H; stronger 2H • ACT now expects mid-teens growth in 2026 (42k units) and 2027 (48k units) • Underlying refrigerated trailer demand remains high, average ~44k units per year • Diversified Americas / EMEA Thermo King businesses poised to outperform end markets through continued innovation / execution
Year	N.A. Trailer Build (k units)																																
2015	46																																
2016	46																																
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2027*	48																																
2028*	50																																
2029*	50																																

Positioned Well for Another Strong Year in 2025

Strong CHVAC Demand (70% of revs)

- Continued strong execution / innovation; pivot to highest-growth verticals delivering strong bookings / revenues
- Well positioned to capture significant opportunities w/ best in class direct sales & service teams & stakeholder relationships
- Leading innovation & value proposition, secular decarbonization megatrends, mega projects, high growth verticals, strong multi-year capex cycle, where project complexity plays to our strengths

Record Backlog

- Backlog > 2.5X historical levels; Expect exceptional backlog position entering 2025
- ~90% of backlog is CHVAC, mainly applied with long services tail est. value 8-10X initial sale

Normalized Resi Market (< 20% of revs)

- Moderate pre-buy in 2024, largely expected to impact Q1'25
- Expect GDP plus growth, consistent with long term framework

Pricing Opportunities

- Innovation led pricing opportunities
- A2L transition to support price, volumes (mix)
- Strong pricing execution to mitigate inflation

N.A. Transport Market (< 10% of revs)

- ACT projecting low single digit trailer growth in 2025 w/ mid-teens growth in 2026 and 2027
- Focused on continued investment in innovation – well positioned to outperform as market recovers
- 2025 overall market tailwind vs mid-teens decline in 2024; Expect to outperform

Services Growth

- Strong / resilient services portfolio; 7-year CAGR up HSD
- Robust applied backlog bolsters high margin recurring, long-tail revenue stream
- Secular decarbonization trends support continued strong growth in energy services projects w/ strong paybacks
- Digital performance optimization – early innings for demand side management



IN SUMMARY

Positioned to Outperform Over the Long-Term

Secular Tailwinds

The markets we serve will continue to outgrow GDP, fueled by long-term sustainability megatrends

Sustainability Focused Innovation

We are positioned to outgrow the market and expand margins with market-leading sustainable innovations

Margin Expansion

Our execution excellence and transformational work position us to maximize margins and cash generation

Financial Strength

Our strong balance sheet, exceptional cash generation and balanced capital allocation strategy deliver significant value to shareholders



Appendix

FY'24 Detailed Guidance for Modeling Purposes

Metric	FY Guidance
Organic Revenue*	~+11%
M&A	+ 50 – 100 bps
FX	minus < 1 pt
Reported Revenue	~+11%
Adj. EPS*	~+\$11.10 ~+23%

*Includes certain Non-GAAP financial measures. See the company's Q3 2024 earnings release for additional details and reconciliations.

2024 Commentary

- ~30% organic leverage* for FY'24
- ~1pt M&A = -5 pts of leverage. Year one contribution of negative \$30M OI, primarily related to technology acq, Nuvolo, with accelerated intangibles amortization of ~\$6M/qtr plus year one acquisition and integration related costs. Expect acq. to be EPS accretive by year 3.

Other Items

4Q'24: expect ~+7% organic revenue growth, Adj. EPS ~\$2.50. Expect +~50bps M&A & +~50bps FX (~+8% reported revenue growth) and ~300 bps impact to reported vs organic leverage.

FY'24 Other Items Unchanged:

- ~\$237M interest expense
- ~20% adj. effective tax rate
- ~228M diluted shares
- Expect CapEx at high end of 1% to 2% of revenues in 2024

Updated FY'24 Items

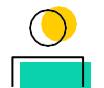
- \$330M corporate costs (\$300M prior) – Continuing accelerated levels of business reinvestments. Additionally, we have two discrete factors impacting corporate in 2H. 1) \$15M step up in discrete investments (sales/service tools and capacity and digital performance optimization), 2) \$15M incentive comp adjustments. Split roughly 50/50 Q3 and Q4
- FY'24 Other income / expense of ~\$20M (\$40M prior); includes pension expense of ~\$5M in Q4 offset by interest income. Other items in other inc. / exp. such as FX impacts are unknown / not forecastable

Trane Technologies Core Sustainability Strategy: Challenge Possible

Global Megatrends



CLIMATE CHANGE



DEMOGRAPHICS



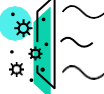
URBANIZATION



DIGITAL CONNECTEDNESS



RESOURCE SCARCITY



INDOOR AIR QUALITY (IAQ)

Our 2030 Commitments

The Gigaton Challenge

Reducing one gigaton of carbon emissions (CO₂e) from our customers' footprint

Leading by Example

Achieving carbon neutral operations, 10% absolute energy reduction, zero waste to landfill, net positive water and reduce embodied carbon by 40%

Opportunity for All

Creating workforce diversity that mirrors our communities, investing in STEM education

Material Issues to Focus Our Efforts

Operations

- Emissions intensity
- Renewable energy
- Water usage
- Heating electrified

Products and Services

- Energy efficiency
- Low-emission products
- Technology & innovation
- Emerging market innovations
- Product life cycle

Supply Chain

- Responsible sourcing
- Supplier diversity

Employees

- Diversity and inclusion
- Ethics and integrity
- Safety
- Development
- Engagement

Communities

- Access to cooling
- Food and wellness
- Education
- Workforce development

Governance

- Board oversight
- Financial performance
- Public policy

Targets Align with Global Priorities



2 Zero Hunger



4 Quality Education



5 Gender Equality



6 Clean Water & Sanitation



7 Affordable & Clean Energy



8 Decent Work & Economic Growth



9 Industry, Innovation & Infrastructure



11 Sustainable Cities & Communities



12 Responsible Consumption & Production

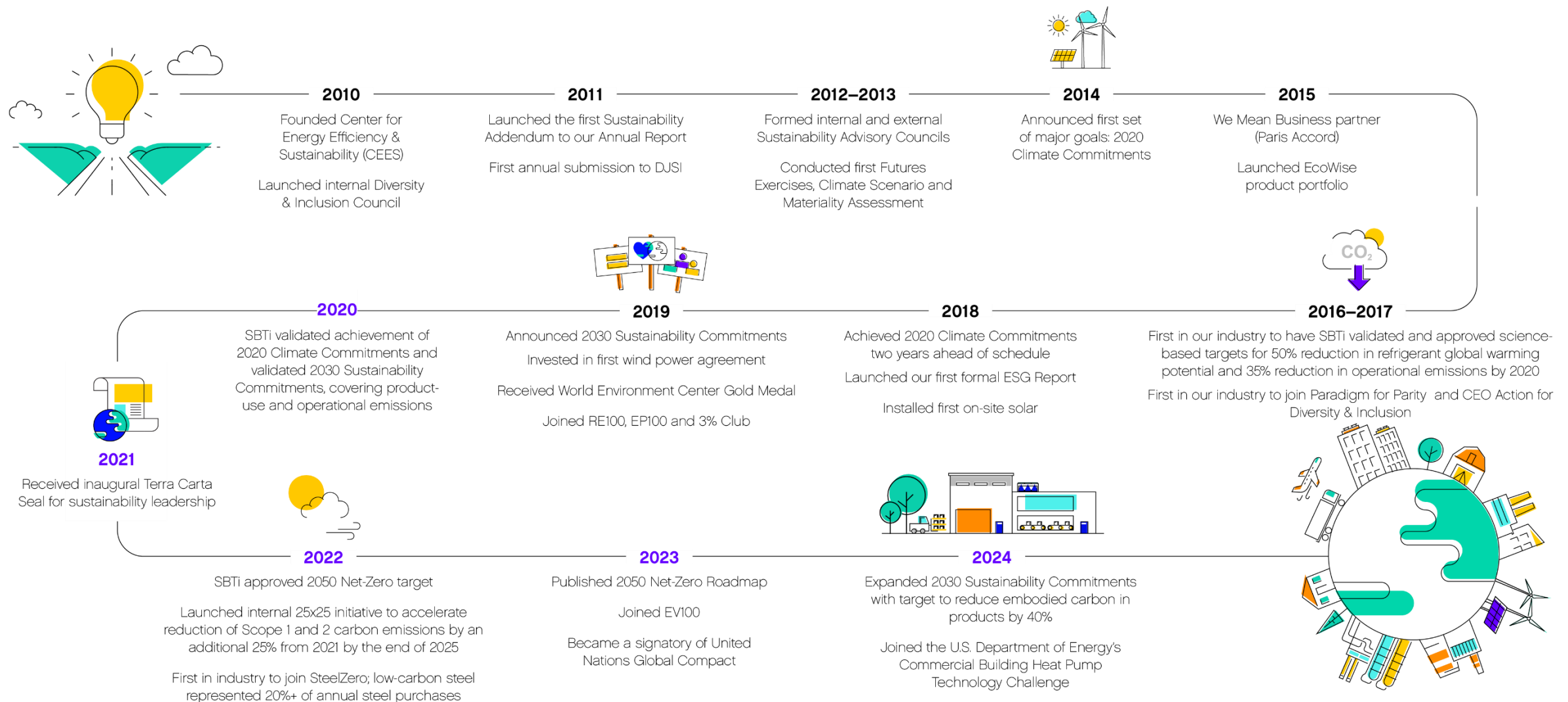


13 Climate Action



We believe in ambitious goals founded in science.
Trane Technologies is 1st in industry to be 2050 Net-Zero Approved by the Science-Based Targets Initiative (SBTi)

Driving performance through sustainability



<> Years in purple designate years since the launch of Trane Technologies.

Widely Recognized for Sustainability, Citizenship, Diversity, Inclusion & Engagement

Highly Regarded ESG Performance



Dow Jones Sustainability Indexes

13 Consecutive Years on the North America Index
3rd consecutive year on the World Index



JUST capital

2024 JUST 100:
3rd consecutive year on the JUST 100; Industry Leader for 2nd consecutive year



CDP

Named to A List
One of 362 companies currently on the A List*



ecovadis

97th Percentile
74/100; Gold Medal



TIME
WORLD'S MOST SUSTAINABLE COMPANIES
statista 2024

Recognized in the inaugural edition
Ranks companies who promote corporate responsibility & advance sustainable practices



FT FINANCIAL TIMES
CLIMATE LEADERS
statista 2024

4th Consecutive Year
Recognized for reducing GHG emissions in our operations



2024 WORLD'S MOST ETHICAL COMPANIES™
ETHISPHERE

Ethisphere 2024 World's Most Ethical Companies®
First-Time Honoree



Corporate Knights
SINCE 2002

Corporate Knights' 2024 Global 100
Ranked 23rd overall, leader in Building Products industry

People and Citizenship



FORTUNE
WORLD'S MOST ADMIRABLE COMPANIES
2024

Fortune World's Most Admired Companies
12 consecutive years



BEST COMPANIES TO WORK FOR
USNews
2024-2025

U.S. News & World Report Best Companies to Work For
Also named to the Best Companies to Work For – Manufacturing list



TIME
WORLD'S BEST COMPANIES
statista 2024

TIME World's Best Companies
2nd consecutive year, ranking climbed 369 spots from 2023



FORTUNE
BEST WORKPLACES
IN MANUFACTURING & PRODUCTION
2024

Fortune Best Workplaces in Manufacturing & Production
Ranked 5th overall in 2024, our highest ever ranking

*CDP's A List is updated monthly, 362 companies are on the list as of October 10, 2024

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Q3 YoY Organic Revenues up 11%; Bookings up 5%

Organic* Revenue	2021					2022					2023					2024		
	<u>Q1</u>	<u>Q2</u>	<u>Q3</u>	<u>Q4</u>	<u>FY</u>	<u>Q1</u>	<u>Q2</u>	<u>Q3</u>	<u>Q4</u>	<u>FY</u>	<u>Q1</u>	<u>Q2</u>	<u>Q3</u>	<u>Q4</u>	<u>FY</u>	<u>Q1</u>	<u>Q2</u>	<u>Q3</u>
Americas	+9%	+19%	+4%	+14%	+11%	+13%	+13%	+19%	+14%	+15%	+8%	+9%	+11%	+7%	+9%	+15%	+16%	+15%
EMEA	+12%	+28%	+8%	+5%	+13%	+6%	+11%	+18%	+23%	+15%	+15%	+8%	+3%	+8%	+8%	+4%	+5%	+8%
Asia Pacific	+34%	+2%	+1%	+4%	+7%	+14%	-12%	+28%	+19%	+12%	+8%	+41%	-1%	flat	+10%	+16%	-3%	-21%
Total	+11%	+18%	+4%	+11%	+11%	+12%	+11%	+19%	+16%	+15%	+9%	+11%	+9%	+6%	+9%	+14%	+13%	+11%

Organic* Bookings	2021					2022					2023					2024		
	<u>Q1</u>	<u>Q2</u>	<u>Q3</u>	<u>Q4</u>	<u>FY</u>	<u>Q1</u>	<u>Q2</u>	<u>Q3</u>	<u>Q4</u>	<u>FY</u>	<u>Q1</u>	<u>Q2</u>	<u>Q3</u>	<u>Q4</u>	<u>FY</u>	<u>Q1</u>	<u>Q2</u>	<u>Q3</u>
Americas	+36%	+29%	+20%	+31%	+29%	+6%	+10%	+11%	flat	+7%	-4%	-8%	+7%	+13%	+2%	+20%	+23%	+8%
EMEA	+18%	+53%	+25%	+13%	+27%	flat	-12%	-10%	+2%	-5%	+10%	+14%	+12%	+10%	+11%	+7%	+10%	+9%
Asia Pacific	+14%	+12%	+11%	+18%	+14%	+14%	+16%	+3%	-6%	+7%	+13%	+6%	+12%	+2%	+8%	+6%	flat	-31%
Total	+31%	+30%	+20%	+27%	+27%	+6%	+7%	+8%	flat	+5%	-1%	-5%	+8%	+12%	+3%	+17%	+19%	+5%

*Non-GAAP financial measures. See the company’s Q3 2024 earnings release for additional details and reconciliations.

Q3 Non-GAAP Measures Definitions

Adjusted operating income in 2024 is defined as GAAP operating income adjusted for restructuring costs, a non-cash adjustment for contingent consideration, merger and acquisition related costs, and legacy legal liability. Adjusted operating income in 2023 is defined as GAAP operating income adjusted for restructuring costs, transformation costs, a non-cash adjustment for contingent consideration and merger and acquisition related costs. Please refer to the reconciliation of GAAP to non-GAAP measures on tables 2, 3 and 4 of the news release.

Adjusted operating margin is defined as the ratio of adjusted operating income divided by net revenues.

Adjusted earnings from continuing operations attributable to Trane Technologies plc (Adjusted net earnings) in 2024 is defined as GAAP earnings from continuing operations attributable to Trane Technologies plc adjusted for net of tax impacts of restructuring costs, a non-cash adjustment for contingent consideration, merger and acquisition related costs, legacy legal liability, and a U.S. discrete tax benefit. Adjusted net earnings in 2023 is defined as GAAP earnings from continuing operations attributable to Trane Technologies plc adjusted for an impairment of equity investment and the net of tax impacts of restructuring costs, transformation costs, a non-cash adjustment for contingent consideration, and merger and acquisition related costs. Please refer to the reconciliation of GAAP to non-GAAP measures on tables 2 and 3 of the news release.

Adjusted continuing EPS in 2024 is defined as GAAP continuing EPS adjusted for net of tax impacts of restructuring costs, a non-cash adjustment for contingent consideration, merger and acquisition related costs, legacy legal liability, and a U.S. discrete tax benefit. Adjusted continuing EPS in 2023 is defined as GAAP continuing operations attributable to Trane Technologies plc adjusted for an impairment of equity investment and the net of tax impacts of restructuring costs, transformation costs, a non-cash adjustment for contingent consideration, and merger and acquisition related costs. Please refer to the reconciliation of GAAP to non-GAAP measures on tables 2 and 3 of the news release.

Adjusted EBITDA in 2024 and 2023 is defined as adjusted operating income adjusted to exclude depreciation and amortization expense and include other income / (expense), net. Other income / (expense), net mainly comprises interest income, foreign currency exchange gains and losses and certain components pension and postretirement benefit costs. Please refer to the reconciliation of GAAP to non-GAAP measures on tables 4 and 5 of the news release. 2024 is defined as adjusted operating income adjusted for depreciation and amortization expense and other income / (expense), net. Adjusted EBITDA in 2023 is defined as adjusted operating income adjusted for depreciation and amortization expense, other income / (expense), net, and excluding an impairment of equity investment. Please refer to the reconciliation of GAAP to non-GAAP measures on tables 4 and 5 of the news release.

Adjusted EBITDA margin is defined as the ratio of adjusted EBITDA divided by net revenues.

Q3 Non-GAAP Measures Definitions

Adjusted effective tax rate for 2024 is defined as the ratio of income tax expense adjusted for a U.S. discrete tax benefit and the net tax effect of adjustments for restructuring costs, a non-cash adjustment for contingent consideration, merger and acquisition related costs, and legacy legal liability divided by adjusted net earnings. Adjusted effective tax rate for 2023 is defined as the ratio of income tax expense adjusted for the net tax effect of adjustments for restructuring costs, transformation costs, a non-cash adjustment for contingent consideration, and merger and acquisition related costs divided by adjusted net earnings. This measure allows for a direct comparison of the effective tax rate between periods.

Free cash flow in 2024 is defined as net cash provided by (used in) continuing operating activities adjusted for capital expenditures, cash payments for restructuring costs, legacy legal liability, and merger and acquisition related costs. Free cash flow in 2023 is defined as net cash provided by (used in) continuing operating activities adjusted for capital expenditures, cash payments for restructuring costs, transformation costs, and merger and acquisition related costs. Please refer to the free cash flow reconciliation on table 8 of the news release.

- **Free cash flow conversion** is defined as the ratio of free cash flow divided by adjusted net earnings

Operating leverage is defined as the ratio of the change in adjusted operating income for the current period (e.g. Q3 2024) less the prior period (e.g. Q3 2023), divided by the change in net revenues for the current period less the prior period.

Organic revenue is defined as GAAP net revenues adjusted to eliminate currency fluctuations and the impact of acquisitions.

Organic bookings is defined as reported orders in the current period adjusted to eliminate currency fluctuations and the impact of acquisitions.

Working capital measures a firm's operating liquidity position and its overall effectiveness in managing the enterprise's current accounts.

- **Working capital** is calculated by adding net accounts and notes receivables and inventories and subtracting total current liabilities that exclude short-term debt, dividend payable and income tax payables.
- **Working capital as a percent of revenue** is calculated by dividing the working capital balance (e.g. as of September 30) by the annualized revenue for the period (e.g. reported revenues for the three months ended September 30 multiplied by 4 to annualize for a full year).